WHAT'S IN A NUMBER?

India's growth figures trigger a debate, with some economists calling them inflated and based on faulty calculation, and the government defending them. Where do we actually stand?

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Illustration by NILANJAN DAS



When the Union ministry of statistics and programme implementation (MoSPI) released the GDP (gross domestic product) figure for the first quarter of the current financial year on August 31, it seemed the perfect prelude to the upcoming G20 summit, which the Narendra Modi-led government was keen to showcase as 'India's moment'. Just a month earlier, the prime minister had declared that India would become the world's third-largest economy in his third term, and the 7.8 per cent GDP growth for the first quarter of FY24, compared to 6.1 per cent in the previous one (Q4 of FY23), seemed to suggest that India was well on its way to get there.

However, three days prior to the G20 summit on September 9-10 came an article by Professor Ashoka Mody of the Princeton University in the US, which punctured holes in the government's claim. Writing for the not-for-profit media organisation Project Syndicate, he contested India's GDP number and questioned the very process of computing it. Prof. Mody said that India is "covering up the reality" by using selective data to calculate its growth numbers. If more well-rounded data were considered, he said, India's GDP growth rate for the first quarter of FY24 would be just 4.5 per cent.

In India, GDP is calculated via two methods, both producing different figures but close in range. The first is based on the income generated from economic activity in eight key sectors (see *How GDP is Computed*), while the second is on the expenditure in those sectors. The income method takes into account the gross profit of companies and self-employed people, wages of employees, as well as all taxes on products. The expenditure method takes